

Multiple Choice (10 marks)

1. Why is the danger inherent in the issuance of fiat money?
 - (a) It is often used to meet emergencies.
 - (b) Its quantity is controlled by the government rather than by market forces.
 - (c) It is backed by a physical commodity like gold or silver.
 - (d) It encourages the accumulation of debt through interest-free loans.
 - (e) It is used for buying military supplies during a war.
2. Production possibilities frontiers are concave to the origin because
 - (a) of the principle of comparative advantage.
 - (b) of the existence of fixed resources.
 - (c) of the scarcity of resources.
 - (d) of the law of decreasing costs.
 - (e) of inefficiencies in the economy.
3. At a Nash equilibrium,
 - (a) the equilibrium is unstable and each party would like to switch strategies
 - (b) the marginal utility curve intersects the marginal cost curve
 - (c) neither party has an incentive to deviate from his or her strategy
 - (d) the equilibrium is stable and each party would like to switch strategies
 - (e) the equilibrium is where the total revenue equals total cost
4. What might happen to the housing construction industry if commercial banks are allowed to compete freely with mutual savings banks?
 - (a) The quality of housing construction would deteriorate
 - (b) More houses could be bought
 - (c) The housing industry would slump
 - (d) Mutual savings banks would become obsolete
 - (e) Deposits in mutual savings banks would increase
5. A negative or contractionary supply shock will
 - (a) shift the Phillips curve to the left.
 - (b) shift the investment demand curve to the right.
 - (c) shift the money demand curve to the right.
 - (d) shift the Phillips curve to the right.

True / False (10 marks)

Answer True or False

6. True or False: Monopolistic competition is characterized by excess capacity, where firms operate below their optimal output level.
7. True or False: The demand curve for a perfectly competitive firm's product is downward sloping and equal to the market demand curve.
8. True or False: The optimal one-step ahead forecast of the change in y is the current value of y minus the drift b .
9. True or False: Continuously compounded returns can be directly added over time to yield total returns for any given period.
10. True or False: A monopolist maximizes profit by setting output where price equals average total cost, resulting in zero economic profit.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Analyze the implications of a capital/output ratio of 2.5 on investment, given a rise in GNP from 985 billion to 1,055 billion, and discuss the induced changes in GNP with a marginal propensity to consume of 0.5.
12. Analyze a scenario where a commercial bank holds 100,000 in deposits and has issued loans of 65,000 with a required reserve ratio of 20%. Discuss how much additional money the bank can lend and the potential impact on the overall money supply in the banking system.

End of Paper